New York ISO
Independent System Operator

10 Krey Boulevard, Rensselaer, NY 12144
Ph: 518.356.6000 | **Fax:** 518.356.8899

October 28, 2022

By Electronic Delivery

Victor Mullin, President
New York Transco LLC
One Hudson Center
Hudson, New York 12534

Subject: Development Agreement between New York Transco LLC and New York Independent System Operator, Inc.: Modifications to Project Description

Dear Mr. Mullin:

On July 22, 2021, New York Transco LLC ("Transco") notified the NYISO of four proposed modifications to the New York Energy Solution project ("Transmission Project") that the NYISO Board of Directors selected as the more efficient or cost-effective solution to Segment B of the AC Transmission Public Policy Transmission Need ("Segment B Need") and that is currently being developed by Transco pursuant to the Development Agreement Among the New York Independent System Operator, Inc. and Niagara Mohawk Power Corporation d/b/a National Grid and New York Transco, LLC, dated January 10, 2020 ("Development Agreement"). Transco also notified the NYISO of additional proposed modifications on July 5, 2022, and August 5, 2022. Based on the NYISO's review, including discussions with Transco, the NYISO hereby consents to the modifications listed in Transco's July 22, 2021, July 5, 2022, and August 5, 2022, correspondence in accordance with Article 3.5 of the Development Agreement.

Under Article 3.5 of the Development Agreement, a Developer is only permitted to make a Significant Modification to a Transmission Project with the prior written consent of the NYISO. The Development Agreement defines a "Significant Modification" as:

> a Developer's proposed modification to its Transmission Project that: (i) could impair the Transmission Project's ability to meet the identified Public Policy Transmission Need, (ii) could delay the In-Service Date of the Transmission Project beyond the Required Project In-Service Date, or (iii) would constitute a material change to the project information submitted by the Developer under Attachment Y of the OATT for use by the NYISO in evaluating the Transmission Project for purposes of selecting the more efficient or cost-effective transmission solution to meet the identified Public Policy Transmission Need.

If a proposed modification meets the definition of a Significant Modification, Article 3.5 of the Development Agreement provides that the NYISO may not unreasonably withhold or condition its consent as long as the Developer demonstrates to the NYISO's satisfaction that the proposed modification (i) does not impair the Transmission Project's ability to satisfy the identified Public Policy Transmission Need, (ii) does not delay the In-Service Date of the

Transmission Project beyond the Required Project In-Service Date, (iii) does not change the grounds upon which the NYISO selected the Transmission Project as the more efficient or cost-effective transmission solution to the identified Public Policy Transmission Need, and (iv) will not result in a significant adverse impact to the reliability of the New York State Transmission System.

The NYISO has determined that the proposed modifications, as detailed below, satisfy one or more of the elements of the definition of Significant Modification under the Development Agreement. As a result, the NYISO reviewed each proposed modification to determine whether the NYISO could consent under the elements of Article 3.5 of the Development Agreement.

The proposed modifications in the July 22, 2021 request consist of (i) the change to the series compensation system from a one-step (50%) to a two-step (33.3% and 17.67%) system, (ii) the Van Wagner Capacitor Bank Station, (iii) the Rock Tavern to Sugarloaf rebuild, and (iv) the replacement of equipment at the Coopers Corners and 345 kV Rock Tavern Substation to meet the existing conductor rating of the Marcy South path between Coopers Corner and the East Transition Station.

The proposed modification in the July 5, 2022 request consists of the installation of a new substation ("Dover PAR Substation"), which includes two 345 kV 450/600/750 MVA PARs and associated bus work, breakers, switches and protection and control equipment. The NYISO preliminarily identified the need for a similar upgrade to address thermal degradation on the New York – New England intertie in the project's System Impact Study. The Dover PAR Substation will mitigate the identified degradation.

The proposed modification in the July 5, 2022 request helps clarify the July 22, 2021 request to also remove certain terminal equipment upgrades on the 305 line between Central Hudson's Roseton Substation and Con Edison's East Fishkill Substation from the project.

The NYISO has determined that the proposed Significant Modifications meet the four prongs set forth in Article 3.5 of the Development Agreement. Specifically, the modifications would not impair the Transmission Project's ability to satisfy the Segment B Need, and as represented by Transco, would not delay the In-Service Date of the Transmission Project beyond the Required Project In-Service Date. Moreover, while the proposed modifications result in material changes to the project information, including costs, submitted under Attachment Y of the OATT for use by the NYISO in evaluating the Transmission Project, the NYISO is satisfied that those changes do not affect the grounds upon which it selected the Transmission Project as the more efficient or cost-effective transmission solution. Furthermore, the NYISO studied the proposed changes through the NYISO's Transmission Interconnection Procedures and received additional analysis related to the Public Policy Transmission Planning Process and did not find that such changes resulted in any significant adverse impact to the reliability of the New York State Transmission System. Accordingly, the NYISO consents to the proposed modifications.

Given the NYISO's consent to the modifications to the Transmission Project pursuant to Article 3.5 of the Development Agreement, the NYISO will tender a draft amended and restated

development agreement under separate cover. Such draft agreement will include proposed modifications to the language of the Development Agreement to account for the previous assignment of National Grid's rights and responsibilities to Transco and proposed changes to the description of the project in Appendices A and B. The NYISO will ask Transco to provide for the NYISO's review further details in Appendix B as it relates to the scope of work for the above-referenced proposed modifications, as well as provide an updated milestone schedule in Appendix C. Following execution of the amended and restated development agreement, the NYISO will file it with the Federal Energy Regulatory Commission.

If you have any questions, please reach out to Ross Altman, Manager, Public Policy & Interregional Planning, who can be reached at raltman@nyiso.com.

Respectfully submitted,
/s/ *Zachary Smith*
Zachary G. Smith
Vice President, System & Resource Planning
New York Independent System Operator, Inc.

cc: Kathleen Carrigan, New York Transco, LLC
Paul Haering, New York Transco, LLC
Brian Hodgdon, NYISO
Yachi Lin, NYISO
Ross Altman, NYISO